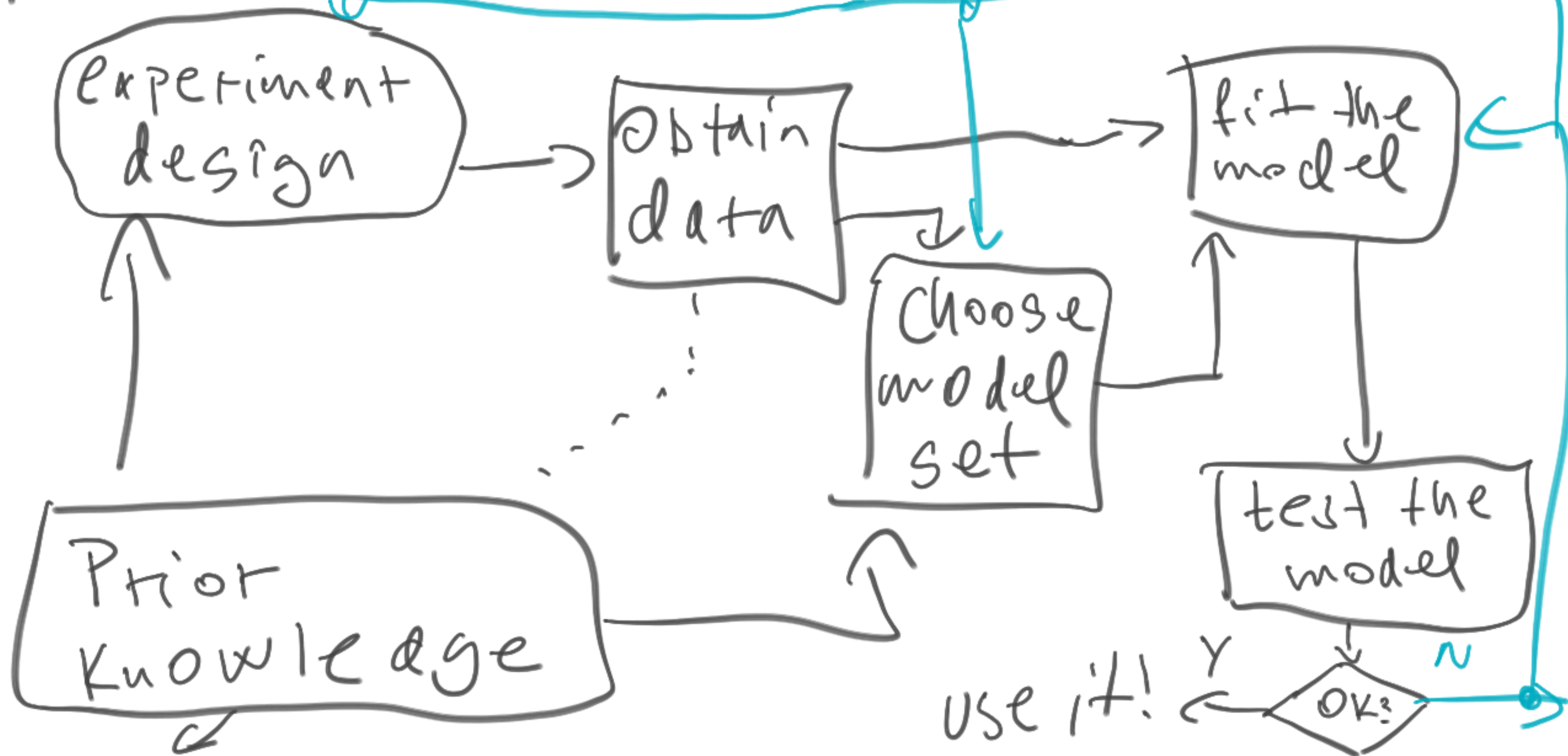


Practical aspect of ID



How to choose order of a dynamic model?

→ autocorrelation function (ACF)

$$ACF(i) = \frac{1}{N} \sum_{k=1}^N x_k x_{k-i}$$

→ partial autocorrelation fcn. (PACF)

→ cross-correlation (CCF)

$$x_k \sim x_k$$